

From Eurocentrism to the Great Divergence: Study Group

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Study Group 2

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Overview

This presentation unfolds in three parts:

- 1 Introduction to Eurocentrism

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- 2 The Great Divergence in Economic History
- 3 Key Takeaway & Conclusions

What Is Eurocentrism?

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A worldview that positions Western European experience as the universal norm, marginalizing other histories, cultures, and ideas.

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- Shapes academic disciplines, politics, and education
- Frames non-European societies as deviations from a European baseline

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Credits Europe with unique rationality and progress based on Greco-Roman heritage.

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- Emphasis on European exceptionalism in governance and innovation

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- Emphasis on European exceptionalism in governance and innovation
- Selective recounting of the Middle Ages and Renaissance

Ideological & Residual Eurocentrism

Ideological

Promotes European norms and values as the pinnacle of human development.

Residual

Subtle persistence of Eurocentric assumptions in modern policies and theories.

- White Mans Burden religious-missionary justification

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- White Mans Burden religious-missionary justification
- IR theories built on European sovereignty models

Philosophical Eurocentrism

Deep Claim

European reason provides the sole universal foundations; non-European philosophies become ethnographic curiosities.

This prompts a rethink of our reading lists and curricula.

Part II: The Great Divergence

The "Great Divergence" refers to the widening gap in economic prosperity, technology, and living standards that emerged between the Western world and much of Asia, Africa, and Latin America from the late 18th century onwards a process deeply linked to colonialism, industrialization, evolving models of economic growth, and the long shadows they cast on global inequality.

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 - Technology adoption and innovation

Part II: The Great Divergence

How did Western Europe surge ahead in wealth and technology between 1750 and 1900? We explore population dynamics, market forces, innovation, and colonial power.

Malthusian Model: Stagnation by Design

Malthusian Model, named after Thomas Robert Malthus's 1798 work, is foundational to understanding pre-industrial economic

Core Mechanism

Income gains trigger population growth until wages return to subsistence.

- Income ↑ Birth rates ↑, Mortality ↓

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- Equilibrium at subsistence wage

Smithian Growth: Division of Labour

Unlike Malthus, Smith believed that productivity could rise with scale, specialization, and institutional development:

Virtuous Cycle

- 1 Capital accumulation Higher output

Institutional context: Property rights and stability amplify this cycle.

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- 3 Larger market Greater specialization
- 4 Specialization New machinery and tools

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Solow Model: Technology as Prime Mover

The 20th-century Solow model addresses the limitations of both Malthus and Smith by centering sustained technological progress and relaxing land constraints

Theorem

If technological progress exceeds population growth, steady-state per-capita income rises indefinitely.

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- Tech shifts production function upward

Endogenous Growth: Innovation & Spillovers

Ideas are non-rival public goods, generating increasing returns at the aggregate level.

Implications

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- Knowledge spillovers create social returns beyond private gains

Industrial Revolution: Regional Case Studies

The Industrial Revolution, starting roughly in late-18th-century Britain, is the locus classicus of the Great Divergence

Britains Lead

Mechanized textiles and steam power boosted GDP per capita from \$1,706 (1820) to \$3,190 (1870).

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- Japan (post-1868): \$669 → \$737

Colonialisms Economic Impact and Institutional Legacies

Colonialism reshaped global economics by:

Heterogeneous Effects

- Reorienting trade, production, and political institutions for the benefit of the metropole
- Establishing **extractive institutions** (favoring raw material exports, limiting local entrepreneurial growth) in densely populated or malaria-prone regions
- Creating **inclusive institutions** (with property rights, broader suffrage) in settler colonies with mortal climates

Colonialism: Institutions & Inequality

Extractive vs. Inclusive

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- Settler (US, Canada): Inclusive institutions, high prosperity

The Racial & Ideological Roots of Empire

Racial Ideologies

Europeans claimed innate superiority, justifying segregation and forced labor.

Enduring Impact

These hierarchies shaped legal systems and collective memory, persisting in institutional biases today.

Colonial Education & Its Aftermath

Colonial Model

A small elite received Eurocentric curricula to serve colonial administrations.

Post-independence reforms expanded access unevenly, leaving skill gaps and cultural tensions.

Globalization & Persistent Inequality

Colonial Legacies in Trade

Many former colonies remain commodity exporters in “trade traps,” (exporting raw materials or low-value-added goods) while high-value industries concentrate in the Global North.

Globalization & Persistent Inequality

Colonial Legacies in Culture

Colonies continue to be marked by hierarchies established in the colonial period, with Western languages, institutions, and norms dominating international life.

Globalization & Persistent Inequality

Colonial Legacies in Inequality

The North-South divide, shaped by centuries of extraction and institutional disparity, is now reinforced by technological gaps, capital flows, and trade structures favoring wealthy economies.

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- **Globalization** connects, but also divides reflecting colonial legacies in trade, education, and culture.

Thank You

Questions and discussion are not welcome! Contact: punnawatcont@gmail.com